HALVERD INSTRUMENTS, INC.
Quarterly Report — Third Quarter, Fiscal Year 2026
Quarter ended 31 July 2026. Reported 20 August 2026.

SUMMARY

Revenue for the third quarter was $24.9 million, a decrease of 14 percent against the $29.0 million reported in the third quarter of fiscal 2025. Gross margin was 51.2 percent. Operating loss was $2.6 million. Net loss was $2.1 million, or $0.12 per diluted share.

We are reducing full-year fiscal 2026 revenue guidance to $104 million to $109 million, from the $118 million to $124 million range reaffirmed in our second-quarter report. Full-year gross margin guidance is reduced to 53 to 55 percent.

The reduction has two causes, both discussed below. The HX-9 depth drift defect is materially larger than we estimated in the second quarter and now requires a partial recall. Trondsen Offshore has deferred two survey programmes pending completion of that work.

One matter has resolved favourably: the second source for the PT-40 pressure transducer die completed qualification during the quarter.

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SEGMENT RESULTS

Subsea Sensing revenue was $13.1 million, down 31 percent year over year. The decline is attributable almost entirely to deferred HX-9 and Vessel Integration Kit shipments to Trondsen Offshore.

Industrial Calibration revenue was $11.8 million, flat against the prior quarter and up 1 percent year over year. The segment will finish fiscal 2026 below the range set in November, as indicated in the second-quarter report.

Backlog at quarter end was $51.4 million. Backlog rose while revenue fell because deferred Trondsen orders remain in backlog rather than being cancelled.

CUSTOMER CONCENTRATION

Trondsen Offshore AS accounted for 29 percent of third-quarter revenue, down from 41 percent in the second quarter. The change reflects lower absolute shipments to Trondsen rather than growth elsewhere. On 11 June 2026 Trondsen deferred two survey programmes, together representing approximately $7.4 million of planned third and fourth quarter revenue, until HX-9 remediation is complete and verified on their fleet. Trondsen has not cancelled and has not sought damages.

No other customer accounted for more than 11 percent of revenue in the quarter.

HX-9 DEPTH DRIFT — REVISED ESTIMATE AND RECALL

Field data collected after the second-quarter report changes both the scope and the cost of this defect.

Onset is earlier than we reported. Drift begins at approximately 600 hours of continuous submersion, not the 900 hours stated in the second-quarter report. The 900-hour figure came from bench testing at constant temperature; the shorter onset appears in units cycled through thermoclines, which is ordinary operating use.

The affected population is larger than we reported. Firmware 4.1.3, which we had excluded, carries the same accumulator defect. The affected population is therefore 7,450 units rather than the 3,100 units stated in the second-quarter report.

Approximately 1,200 of those units are on hardware revision B, which cannot accept firmware 4.4.2 over the vessel link. Those units must be returned and reflashed at a service centre. We announced this partial recall on 3 July 2026.

The warranty accrual recorded in the second quarter was $2.4 million, and we stated at the time that we believed it sufficient. It is not sufficient. We have increased the total accrual to $6.1 million, recording an additional $3.7 million charge in the third quarter.

SUPPLY — PT-40 SECOND SOURCE QUALIFIED

Kaldbakur Semiconductor hf completed qualification as a second source for the PT-40 pressure transducer die on 14 May 2026. The Kaldbakur die passed the 1,000-hour pressure-cycling test and the salt-fog corrosion test, and a production lot of 4,000 die was accepted on 2 July 2026.

Kaldbakur die entered shipped product on 28 July 2026. We expect Kaldbakur to supply between 30 and 40 percent of PT-40 volume during the fourth quarter of fiscal 2026, rising to approximately half in fiscal 2027.

The second-quarter report described the second source as identified and sampled but not qualified, and described the resulting single-source exposure as unmitigated. That exposure is now mitigated.

Separately, on 19 June 2026 we extended the Tessin Micro Fabrication supply agreement to 31 January 2028 on substantially the same commercial terms. We reduced PT-40 inventory cover from eleven weeks to eight weeks in July, which released $1.1 million of working capital.

LIQUIDITY, CAPITAL AND OUTLOOK

Cash and cash equivalents were $38.2 million at 31 July 2026, against $44.6 million at the end of the second quarter. The company carries no debt. The reduction is principally the third-quarter operating loss, $2.9 million of cash warranty spend, and $1.4 million of capital expenditure.

REVISED FULL-YEAR GUIDANCE

Revenue guidance for fiscal 2026 is reduced to $104 million to $109 million, from $118 million to $124 million. Of the approximately $14 million reduction at the midpoint, we attribute roughly $7.4 million to the deferred Trondsen programmes and the remainder to slower HX-9 shipments generally while the recall is in progress.

The revised guidance assumes that the total warranty accrual of $6.1 million is sufficient, that the recall completes during the fourth quarter, and that Trondsen resumes deliveries in the first quarter of fiscal 2027. We note that our previous sufficiency estimate for this defect proved wrong by a factor of more than two.